

You are not alone. Other investors, believing the stock is retesting the low that occurred a week earlier, also buy the stock. Together, the buying puts a momentary floor on the stock. For the next 2 days, the stock returns to the 7.38 level before buying demand pushes the price higher. This time the stock does not climb as high as the prior minor high; it only reaches a value of 8.13 before turning down.

Again, when the stock reaches a low of 7.38, buying demand increases enough to halt the decline at that level and to send the stock moving back up. During the next 2 weeks or so, you and other investors buy the stock. Enthusiasm for the stock quickly wanes, and a series of lower highs outline a down-sloping trend. The floor, at 7.38, becomes the horizontal support level.

Eventually, investors buy enough of the stock and have either run out of money to buy more or decide they already own enough. The stock slips below the support line on 9 November and closes at the low for the day at 7.13. The stock hovers near that price for a few more days before continuing down in earnest on higher volume.

Quick-footed investors, realizing that the floor is no longer holding firm, sell the stock. The price begins declining rapidly now but soon levels off. For a few days, selling pressure meets buying demand and the decline halts, turns around, and begins moving up. It nears the base of the triangle; the smart money quickly disposes of any remaining shares in their portfolios. The pullback completes, and the stock rounds over and starts heading down again. In 3 months' time the stock reaches the ultimate low of just under 3 before leveling out. That is a decline of 60%.

Identification Guidelines

Descending triangles have distinctive patterns, making them easy to identify. Consider the triangles shown in [Figure 65.2](#). A descending triangle appears during March and April 1993 and marks the end of a long rise started in late 1992. Like a ball bouncing along the floor, each bounce from the support line is lower than the previous bounce, giving the triangle a down-sloping appearance along the top.